



Qualification Programme Examination Panelist's Report

Module 9 – Principles of Taxation (June 2022 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 10 multiple choice questions. Candidates were required to answer all questions. The questions related broadly to the following topics:

- (a) Tax administration;
- (b) Property tax;
- (c) Salaries tax;
- (d) Profits tax;
- (e) Personal assessment; and
- (f) Stamp duty.

The questions covered non-computational questions and computational questions. Candidates' overall performance in this section was not good, particularly the computational questions.

Specific Comments

The wide range of topics in the syllabus may be a source of difficulty for candidates. Candidates were especially weak in the following areas:

- (a) Tax administration – delegation of duties;
- (b) Personal assessment – election for personal assessment;
- (c) Salaries tax – voluntary health insurance scheme; and
- (d) Stamp duty – lease.

Candidates were advised that multiple choice questions could cover every part of the syllabus. They should have had adequate coverage and knowledge of all topics in the syllabus when they prepared for the examination. They were also advised to read the questions carefully to avoid making common mistakes.



(II) Section B – Written Questions

General Comments

This section consisted of 6 questions and candidates were required to answer all of the questions. The questions in this section tested the candidates on their conceptual understanding and their ability to apply their knowledge to specific situations that are commonly tackled by tax professionals in their work. Overall performance in this section was satisfactory. Candidates demonstrated a basic understanding of computing tax liability under different types of tax. However, candidates performed poorly in essay-type questions. They could not present their answers properly as required in the questions. Some of them even did not attempt this type of questions. Candidates should improve their analytical and writing skills. Candidates should be made aware that their poor performance on this part of the assessment would greatly affect their overall score.

Specific Comments

Question 1(a) – 3 Marks

This question required candidates to compute the amount of commercial building allowance.

Most candidates performed well. They were able to use the original construction costs and the new cockloft costs for the computation of commercial building allowance. Some candidates wrongly omitted the new cockloft costs and granted refurbishment expenditure deduction.

Question 1(b) – 17 Marks

This question required candidates to compute the profits tax liability of a corporation.

Candidates performed well in this part. They generally showed a basic knowledge of profits tax computation. However, they were not familiar with the calculation of the enhanced tax deduction for research and development expenditure and treatment of the interest received. Also, candidates should note that:

- (a) Commission paid to overseas agents was deductible;
- (b) Bad debt recovered previously not allowed was not taxable;
- (c) 1/5 of the refurbishment expenditure incurred in the year of assessment 2017/18 should be deducted from the profit instead of adding back to the profit.



Question 1(c)(i) – 4 Marks

This question required candidates to analyse the tax treatment of interest received on fixed deposit placed with a bank in Hong Kong.

Performance was poor. Candidates could not explain that although the interest was taxable under s15(1)(f) of the Inland Revenue Ordinance (IRO), it was exempt by reason of the Interest Exemption Order 1988.

Question 1(c)(ii) – 2 Marks

This question required candidates to analyse the tax treatment of compensation paid to retired former staff.

Performance was poor. Candidates could not explain the reasons why the compensation was not deductible.

Question 2(a) – 2 Marks

This question required candidates to compute the share option gain chargeable to salaries tax.

Performance was good. Most candidates could compute the amount of share option gain. However, a few candidates wrongly deducted the dividends received in the computation.

Question 2(b) – 12 Marks

This question required candidates to compute the salaries tax liability of an employee under Hong Kong employment.

Candidates performed well in this question. Candidates generally demonstrated basic knowledge of salaries tax computation. However, candidates were weak in the different treatment of housing allowance (it was taxable and no rental value included) and refund of rent (not taxable but rental value included). Candidates should also note that:

- (a) Additional child allowance was granted for a child born in the year of assessment;
- (b) Additional dependent parent allowance should be granted for the dependant living with the claimant throughout the year;
- (c) Standard rate should be on the assessable income before personal allowances instead of on the net chargeable income.



Question 2(c)(i) – 2 Marks

This question required candidates to analyse the tax treatment of dividend received from the employer.

Performance was poor. Candidates should have mentioned that the dividend received was not taxable as it was not derived from the employment.

Question 2(c)(ii) – 2 Marks

This question required candidates to analyse the tax treatment of cash donations for lucky draw at the annual dinner.

Performance was satisfactory. Candidates were able to mention that it was not allowed as it was not made to an approved charitable organization, it would be better to define what was approved charitable donation.

Question 3(a) – 6 Marks

This question required candidates to list out the factors for considering whether a transaction constitutes an adventure in the nature of trade.

Performance was poor. Candidates might have misunderstood the question and did not know that the question was asking about the badges of trade and related matters.

Question 3(b) – 3 Marks

This question required candidates to analyse whether the gain on disposal of property is subject to profits tax.

Performance was below average. Candidates could not analyse the facts as provided although they drew the conclusion that the gain on the disposal was not likely chargeable to profits tax. Candidates should have used the facts provided to support their conclusion.

Question 4(a) – 3 Marks

This question required candidates to compute the amount of depreciation allowance of plant and machinery available in the year of cessation of business.

Performance was satisfactory. Candidates generally showed the knowledge that there would be balancing charge/ allowance upon cessation of business. However, some candidates still granted annual allowance in the computation.



Question 4(b) – 6 Marks

This question required candidates to compute the assessable profits of an old business for the cessation year and to specify the basis period concerned.

Performance was not good. Candidates did not specify the basis period correctly. They were not familiar that the assessable profits of an old business should be computed in accordance with s18D(2A) of the IRO.

Question 5(a) – 4 Marks

This question required candidates to analyse whether a property owner was liable to Hong Kong property tax and his eligibility to elect for personal assessment.

Performance was below average. Although candidates could mention that the owner was liable to property tax on the rental income received, they could not analyse the scope of charge of property tax thoroughly. They also failed to analyse the conditions for election for personal assessment so as to draw the conclusion that the owner was not eligible to elect for personal assessment for the year of assessment concerned.

Question 5(b) – 5 Marks

This question required candidates to compute the property tax liability.

Candidates performed well in this question. They were familiar with the presentation of the property tax computation. However, some candidates had wrongly included other expenses in the computation.

Question 6 – 9 Marks

This question required candidates to analyse and compute the amount of stamp duty payable on the agreement for sale and purchase (ASP) and conveyance on sale (COS) of a residential property.

Candidates performed well in the part of the ASP but poor in the part of the COS. Candidates did not realise that stamp duty was payable on the COS because it was not in conformity with the earlier ASP as the spouse owned another residential property. However, no special stamp duty nor buyer's stamp duty was payable as the nominee was a close relative of the purchaser.



(III) Conclusion and Recommendation

Overall, the performance of the candidates was satisfactory. The syllabus of this paper covered Inland Revenue Ordinance and Stamp Duty Ordinance, for which candidates should have been thoroughly prepared. The questions consisted of computational questions and essay-type questions. The satisfactory performance was mainly due to their well performance in computational parts. The essay-type questions which required analysis or explanation were answered poorly. Candidates were reluctant to answer them or unable to present the answers properly. Many candidates seemed to have no idea on those topics. Candidates were advised not to just focus their studies on the computational parts of the syllabus as their results would be greatly affected in case the percentage of the essay-type questions increased.